Tesla Q1 2026 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in$ {BUY, HOLD, SELL}, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above +2.00%, BUY is correct. Below −2.00%, SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as (next-trading-day Open ÷ release-day Close) −1, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The ±2.00% band applies to the overnight move only.

Report metadata

Company	Tesla, Inc. (TSLA)
Report	Q1 2026
Release date	Wednesday 22 April 2026, after close
Earnings call	5:30pm ET
Source transcript	Insider Monkey and Seeking Alpha transcripts (Motley Fool slug not located)
Press release	Form 8-K, SEC EDGAR, filed 22 April 2026
Read mode	transcript and news only
Time to produce	41 minutes

Source material (read this first)

Headline financials

- Revenue \$22.4B against roughly \$21.9B expected. EPS \$0.41 against \$0.35 to \$0.37 expected.
- Auto margins excluding credits 19.2%, up from 17.9%, helped by about \$230M of warranty true-downs.
- EMEA deliveries surged, with France and Germany up over 150% quarter over quarter. Highest Q1 order backlog in over two years.
- Energy storage 8.8 GWh deployed, down 38% sequentially, at a 39.5% gross margin including about \$250M of tariff benefits.

Forward guide

- 2026 capex above $25B, with negative free cash flow expected for the rest of the year.
- Unsupervised FSD framed as probably a fourth-quarter event.

Hedges and concerns

- Battery pack capacity called the biggest limiter on production growth.
- Negative free cash flow through 2026 during the investment phase.
- Robotaxi complexity issues, including vehicles behaving over-cautiously and expansion limited beyond Texas cities.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Consensus looked for about $21.9B of revenue and $0.35 to $0.37 of EPS.
- Q1 deliveries and energy deployments had come in below Street expectations, and Cantor had called 2026 a transition year.
- Hopes rested on the EMEA demand recovery and any firm robotaxi milestones.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 18 March 2026 – 11–1 hold at 3.50–3.75%.
- **Stance read:** Hawkish hold: elevated inflation and geopolitical uncertainty cited as reasons to pause the easing cycle.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. *"Optimus will be our biggest product ... probably the biggest product ever"* – Musk, prepared remarks.
2. *"Auto margins ... improved sequentially from 17.9% to 19.2%"* – Taneja, prepared remarks.
3. *"Unsupervised FSD ... probably in the fourth quarter"* – Musk, Q&A.
4. *"Hardware 3 ... does not have the capability to achieve unsupervised FSD"* – Musk, Q&A.

Your scoring – fill in below, then seal

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1 Sentiment score

Score: +0.35

Rationale. A beat on both lines with margins up again, but the quality is mixed. Warranty true-downs flattered margins, energy deployments fell sharply and the year ahead is guided to negative free cash flow on more than $25B of capex.

2 Directional signal

Signal: HOLD

Rationale. The beat argues up and the cash guide argues down, into a stock still priced on autonomy promises. The two roughly cancel, so HOLD.

3 Structured summary

- **Deliveries and autos.** A beat with EMEA surging, though margin quality is mixed.
- **Autonomy and AI.** Slipping right, with unsupervised FSD now a fourth-quarter hope.
- **Cash and capex.** Negative free cash flow guided for the rest of the year.
- **Forward guide.** A transition year on the company's own framing.

4 Evidence quotes

1. *"Auto margins ... improved sequentially from 17.9% to 19.2%"* – Taneja, prepared remarks (margins).
2. *"Unsupervised FSD ... probably in the fourth quarter"* – Musk, Q&A (autonomy timing).
3. *"Optimus will be our biggest product ... probably the biggest product ever"* – Musk, prepared remarks (the long bet).

— SEALED —

Overnight move and call verification

TSLA close, 22 April 2026 (release day)	\$387.51
TSLA open, 23 April 2026	\$375.28
Overnight move (release close → next open)	**−3.16%**

Call verification

- HOLD band test: $|-3.16\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **HOLD**. The correct call was **SELL**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	**−3.16%**
D+1 close	−3.56%
D+3 close	−2.28%
D+5 close	−3.80%
D+10 close	+2.90%
D+20 close	+7.68%